Texas Financial Profile & Rules

> **Composite COL Index:** 93.0
> **Housing Cost Metric:** 87.4
> **Income Tax Burden:** 0.00% (No Income Tax)

State-Specific Financial Q&A

Q: Does Texas have a state individual income tax?

A: No, the Texas Constitution strictly prohibits individual income tax. The state funds operations through sales and property taxes.

Q: What is the Texas Franchise Tax?

A: Businesses operate under the franchise tax (margin tax), which levies variable percentages based on total revenues minus statutory deductions.

Q: How are property taxes structured in Texas?

A: Texas property taxes are among the highest in the country because there is no income tax. Appraised values are assessed at 100% market value by local appraisal districts.

Q: What is the homestead cap in Texas?

A: For qualified primary residences, the appraised value cannot increase by more than 10% per year, buffering homeowners from rapid market appreciation.

Cost of Living (COL) Index Reference

Metric Point	Value vs. National Baseline (100.0)
Composite COL Index	93.0
Housing Cost Metric	87.4